

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 19, Honorable Theodore C. Zayner Presiding

Maggie Castellon, Courtroom Clerk
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**To contest the tentative ruling, call (408) 808-6856 before 4:00 P.M. or email
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LAW AND MOTION TENTATIVE RULINGS

**DATE: July 1, 2026 TIME: 1:30 P.M.
PREVAILING PARTY SHALL PREPARE THE ORDER
UNLESS OTHERWISE STATED (SEE [RULE OF COURT 3.1312](#))**

LINE #	CASE #	CASE TITLE	RULING
LINE 1	16CV300096	Velocity Investments, LLC v. Canul	See Line 1 for tentative ruling.
LINE 2	18CV338986	Velocity Investments LLC v. Pascual	See Line 2 for tentative ruling.
LINE 3	21CV386630	Chavez v. United Security Bank (Class Action/PAGA)	See Line 3 for tentative ruling.
LINE 4	22CV397991	Marmolejo v. Significant Cleaning Services, LLC (Class Action)	See Line 4 for tentative ruling.
LINE 5	24CV441948	Hakimzada v. My Wireless NCC, Inc. (Class Action)	See Line 5 for tentative ruling.
LINE 6	24CV448348	Edward Lee vs Gilroy IM 2 LLC	See Line 6 for tentative ruling.
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Calendar Line 1

Case Name: *Velocity Investments, LLC v. Canul*
Case No.: 16CV300096

This is a certified class action under the California Fair Debt Buying Practices Act (the “Debt Buyers Act” or “CFDBPA”), Civil Code section 1788.50–1788.64. Liability has been established. Cross-complainant Maria Canul now moves for summary judgment on the cross-complaint, asking the Court to determine damages. Cross-Defendants Velocity Investments, LLC (“Velocity”) and Velocity Portfolio Group, Inc. (“VPGI”) (collectively, “Cross-Defendants”), oppose the motion.

As discussed below, the Court GRANTS Cross-Complainant Maria Canul’s motion for summary judgment in part, as follows: (1) the Court awards Maria Canul \$1,000 in individual statutory damages under Civil Code section 1788.62(a); (2) the Court awards the class \$500,000 in additional damages under Civil Code section 1788.62(b); (3) the Court reserves the request for service award for the motion for attorney’s fees and costs; and (4) the Court finds that Maria Canul is entitled to reasonable attorney’s fees, in an amount to be determined following noticed motion.

I. Background

Velocity is a debt buyer. On September 20, 2016, Velocity sued Canul to collect a charged-off consumer debt. The complaint pleaded common counts, and Velocity attached a Truth in Lending Act (“TILA”) disclosure statement and identified it as the document required by Civil Code section 1788.52(b).

Canul incurred the underlying loan through the LendingClub online platform. She signed a loan agreement with WebBank on May 29, 2012. WebBank gave her a TILA disclosure statement the same day. That statement estimated an annual percentage rate of 12.58 percent. The loan issued on June 6, 2012, and promissory notes were executed on Canul’s behalf. The note rate was 9.76 percent. The TILA disclosure predated the loan and recited a different rate. Velocity did not attach the loan agreement or the promissory notes to its complaint.

Canul answered and filed a class-action cross-complaint on February 19, 2019. Velocity dismissed its own complaint on August 14, 2019. Canul added Velocity Portfolio Group, Inc. (“VPGI”). On June 15, 2022, the parties stipulated that VPGI is Velocity’s alter ego for all purposes in this action. The operative First Amended Cross-Complaint was filed November 4, 2021.

On August 31, 2022, the Court certified a class of 1,845 members. On November 7, 2022, the parties stipulated that each Cross-Defendant’s net worth exceeds \$50,000,000. They further stipulated that neither would contest any class-damages determination on the basis of its financial resources.

Both sides previously moved for summary judgment. On November 30, 2023, the Court granted Velocity’s motion on standing grounds and entered judgment against Canul. The Court of Appeal, Sixth Appellate District, reversed on May 12, 2025 (Nos. H051695 and H051696). The Supreme Court denied review on July 30, 2025. The remittitur issued from the Court of Appeal. On October 23, 2025, this Court vacated the prior judgment, found standing under *Chai v. Velocity Investments, LLC* (2025) 108 Cal.App.5th 1030 (*Chai*), granted summary adjudication on the section 1788.58(b) violation, and ordered further briefing on remedies. This motion followed.

II. Legal Standard

Summary judgment is proper when there is no triable issue of material fact and the moving party is entitled to judgment as a matter of law. (Code Civ. Proc., § 437c(c).) A cross-complainant carries its initial burden by proving each element of its cause of action. (*Id.* at § 437c(p)(1).) The burden then shifts to the cross-defendant to show a triable issue. (*Ibid.*) A cross-complainant need not disprove affirmative defenses. (*Oldcastle Precast, Inc. v. Lumbermens Mut. Cas. Co.* (2009) 170 Cal.App.4th 554, 564–565.) A cross-defendant resisting the motion must produce evidence raising a triable issue on any defense it would bear the burden of proving at trial. (*Ibid.*)

III. Discussion

Canul seeks (1) the statutory maximum of \$1,000 in individual statutory damages under section 1788.62(a); (2) \$1,000,000 in class “additional damages” under section 1788.62(b) (the statutory maximum of \$500,000 for each Cross-Defendant); (3) a \$5,000 service award; and (4) attorney’s fees and costs by later motion. Cross-Defendants oppose the motion, arguing that the violation was immaterial and the product of bona fide error, that the class cap is \$500,000 (not \$1,000,000), and that the appropriate award is nominal or zero.

A. Liability is Established

Liability is settled because the Court of Appeal directed summary adjudication for Canul on her failure-to-attach claim, and this Court entered that adjudication on October 23, 2025. The Civil Code section 1788.58(b) violation is the law of the case. Cross-Defendants concede the violation, and the only open questions concern remedies.

The undisputed facts establish each element. Velocity is a debt buyer, and Canul incurred a consumer debt. The action was brought by a debt buyer on a consumer debt. Civil Code section 1788.58(b) required Velocity to attach a copy of the contract, or another document evidencing Canul’s agreement to the debt, to its complaint. Velocity attached only the TILA disclosure statement. The TILA disclosure statement does not evidence Canul’s agreement to the debt. It predated consummation of the loan and recited a different interest rate. Because the attachment requirement was not met, the violation is established.

B. Bona Fide Error Defense

Cross-Defendants contend the violation occurred as a result of a bona fide error. (Opposition, pp. 14–16; Reply, pp. 3–5.) Civil Code section 1788.62(e) bars civil liability where a violation was not intentional, resulted from a bona fide error, and occurred despite procedures reasonably adapted to avoid the error. The defense is not available here.

Cross-Defendants raised bona fide error in the trial court in 2023. They did not advance it on appeal. The Court of Appeal deemed Canul’s summary judgment motion submitted on her brief and then directed summary adjudication for Canul. Thus, the bona fide error defense was not preserved and it is foreclosed by waiver and by the law of the case.

The defense also fails on the merits. Civil Code section 1788.62(e) bars “civil liability under this section.” It is a defense to liability, not a factor in setting the amount of damages. Liability is established. The defense cannot now reduce the award.

The evidence does not support the defense in any event. The Sgro declaration describes general policies governing which documents Velocity must hold before suit. It identifies no procedure adapted to ensure that the correct document is attached to a complaint. It shows no procedure that was followed in this case. The declaration states that Velocity attached the TILA disclosure “for the purpose of complying with” Civil Code sections 1788.52(b) and 1788.58(b). The attachment was therefore intentional. A mistaken view of the statute’s requirements is a mistake of law. A mistake of law is not a bona fide error. (See *Jerman v. Carlisle, McNellie, Rini, Kramer & Ulrich, L.P.A.* (2010) 559 U.S. 573, 604–605.) No triable issue is raised.

C. Materiality

Cross-Defendants contend the violation was not material. (Opposition, pp. 9–13; Reply, pp. 5–7.) A violation of Civil Code section 1788.58(b) does not depend on materiality. The Debt Buyers Act imposes liability for noncompliance. No injury beyond noncompliance is required. (*Chai, supra*, 108 Cal.App.5th at p. 1040.) The least-sophisticated-debtor materiality standard governs alleged misrepresentations. It does not govern a failure to attach a required document. The immateriality contention does not defeat the motion or the claim.

D. Class Additional Damages

Canul argues that all relevant factors support an award of a maximum statutory recovery. (Memorandum, pp. 16–17; Reply, pp. 7–8.) Cross-Defendants contend the pertinent factors weigh against awarding the maximum amount of statutory damages, and that the class may recover only nominal damages. (Opposition, pp. 16–20.) Civil Code section 1788.62(b) authorizes additional class damages upon a finding of a pattern and practice of violations. The record establishes a pattern and practice. The same defective attachment appears in all 1,845 class complaints. Velocity filed 473 similar complaints in the companion Pascual action. The Court finds a pattern and practice of violating Civil Code section 1788.58(b).

Civil Code section 1788.62(b) caps class additional damages at the lesser of \$500,000 or one percent of the net worth of the debt buyer. The net worth of each Cross-Defendant exceeds \$50,000,000. The one-percent figure exceeds \$500,000. The applicable cap is \$500,000.

The cap applies once to this action. VPGI is Velocity's stipulated alter ego. Alter ego doctrine treats the two entities as one. An alter ego defendant has no separate primary liability. (*Hennessey's Tavern, Inc. v. American Air Filter Co.* (1988) 204 Cal.App.3d 1351, 1358–1359.) This action involves a single pattern and practice and a single set of class injuries. A party may not recover more than once for the same item of damage. (*Roby v. McKesson Corp.* (2009) 47 Cal.4th 686, 702.) The cap does not double to \$1,000,000 because a stipulated alter ego is named. The maximum class recovery in this action is \$500,000.

The Court awards the class \$500,000 in additional damages. The factors in section 1788.62(d) support the award. The noncompliance was frequent and persistent. The number of persons affected is 1,845. The resources of the debt buyer are substantial. The award is modest measured against the class members' aggregate individual exposure. An award of \$500,000 yields approximately \$271 per class member and is consistent with the statute and the record.

E. Named-Plaintiff Statutory Damages

Canul seeks the maximum of individual statutory damages. (Memorandum, p. 16; Opposition, p. 20; Reply, p. 9.) Civil Code section 1788.62(a) entitles Canul to individual statutory damages of not less than \$100 and not more than \$1,000. The facts bearing on the amount are undisputed. The Court fixes the amount on this motion. The statute is penal. The violation was part of a litigation practice repeated across the class. The litigation has been lengthy and included a successful appeal. The Court awards Canul \$1,000 in individual statutory damages.

F. Service Award

Canul requests a \$5,000 service award. (Memorandum, p. 18; Opposition, p. 20; Reply, p. 9.) The present record does not establish the risk, expense, or hardship that would support

that amount. The Court reserves any service award for determination with the motion for attorney's fees and costs. Canul may renew the request and supplement the record at that time.

G. Attorney's Fees and Costs

Canul is the prevailing consumer. Civil Code section 1788.62(c)(1) entitles a prevailing consumer to costs and reasonable attorney's fees. The Court confirms the entitlement. The amount will be fixed by noticed motion.

IV. Conclusion

For the reasons stated, the Court GRANTS Cross-Complainant Maria Canul's motion in part, as follows: (1) the Court awards Maria Canul \$1,000 in individual statutory damages under Civil Code section 1788.62(a); (2) the Court awards the class \$500,000 in additional damages under Civil Code section 1788.62(b); (3) the Court reserves the request for service award for the motion for attorney's fees and costs; and (4) the Court finds that Maria Canul is entitled to reasonable attorney's fees, in an amount to be determined following noticed motion.

Cross-complainant Canul shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 2

Case Name: *Velocity Investments LLC v. Pascual*
Case No.: 18CV338986

This is a certified class action under the California Fair Debt Buying Practices Act (the “Debt Buyers Act” or “CFDBPA”), Civil Code section 1788.50–1788.64. Liability has been established. Cross-complainant Eva Pascual now moves for summary judgment on the cross-complaint, asking the Court to determine damages. Cross-Defendants Velocity Investments, LLC (“Velocity”) and Velocity Portfolio Group, Inc. (“VPGI”) (collectively, “Cross-Defendants”), oppose the motion.

As discussed below, the Court GRANTS Cross-Complainant Eva Pascual’s motion for summary judgment in part, as follows: (1) the Court awards Eva Pascual \$1,000 in individual statutory damages under Civil Code section 1788.62(a); (2) the Court awards the class \$500,000 in additional damages under Civil Code section 1788.62(b); (3) the Court reserves the request for service award for the motion for attorney’s fees and costs; and (4) the Court finds that Eva Pascual is entitled to reasonable attorney’s fees, in an amount to be determined following noticed motion.

I. Background

Velocity is a debt buyer. On December 10, 2018, Velocity sued Pascual to collect a charged-off consumer debt. The complaint pleaded common counts. Velocity attached a Truth in Lending Act (“TILA”) disclosure statement and identified it as the document required by Civil Code section 1788.52(b).

Pascual incurred the underlying loan through the Prosper online platform. She signed a borrower registration agreement with WebBank on May 23, 2016. WebBank gave her a TILA disclosure statement the same day. That statement estimated an annual percentage rate of 23.51 percent. The loan issued on May 25, 2016, and a promissory note was executed on Pascual’s behalf. The note rate was 19.73 percent. The TILA disclosure predated the loan and recited a different rate. Velocity did not attach the borrower agreement or the promissory note to its complaint.

Pascual answered and filed a class-action cross-complaint on February 19, 2019. Velocity dismissed its own complaint on August 14, 2019. Pascual added Velocity Portfolio Group, Inc. (“VPGI”). On June 15, 2022, the parties stipulated that VPGI is Velocity’s alter ego for all purposes in this action. The operative First Amended Cross-Complaint was filed November 4, 2021.

On August 31, 2022, the Court certified a class of 473 members. On November 7, 2022, the parties stipulated that each Cross-Defendant’s net worth exceeds \$50,000,000. They further stipulated that neither would contest any class-damages determination on the basis of its financial resources.

Both sides previously moved for summary judgment. On November 7, 2023, the Court granted Velocity’s motion on standing grounds and entered judgment against Pascual. The Court of Appeal, Sixth Appellate District, reversed on May 12, 2025 (Nos. H051695 and H051696). The Supreme Court denied review on July 30, 2025. The remittitur issued from the Court of Appeal. On October 23, 2025, this Court vacated the prior judgment, found standing under *Chai v. Velocity Investments, LLC* (2025) 108 Cal.App.5th 1030 (*Chai*), granted summary adjudication on the section 1788.58(b) violation, and ordered further briefing on remedies. This motion followed.

II. Legal Standard

Summary judgment is proper when there is no triable issue of material fact and the moving party is entitled to judgment as a matter of law. (Code Civ. Proc., § 437c(c).) A cross-complainant carries its initial burden by proving each element of its cause of action. (*Id.* at § 437c(p)(1).) The burden then shifts to the cross-defendant to show a triable issue. (*Ibid.*) A cross-complainant need not disprove affirmative defenses. (*Oldcastle Precast, Inc. v. Lumbermens Mut. Cas. Co.* (2009) 170 Cal.App.4th 554, 564–565.) A cross-defendant resisting the motion must produce evidence raising a triable issue on any defense it would bear the burden of proving at trial. (*Ibid.*)

III. Discussion

Pascual seeks (1) the statutory maximum of \$1,000 in individual statutory damages under Civil Code section 1788.62(a); (2) \$1,000,000 in class “additional damages” under section 1788.62(b) (the statutory maximum of \$500,000 for each Cross-Defendant); (3) a \$5,000 service award; and (4) attorney’s fees and costs by later motion. Cross-Defendants oppose the motion, arguing that the violation was immaterial and the product of bona fide error, that the class cap is \$500,000 (not \$1,000,000), and that the appropriate award is nominal or zero.

A. Liability is Established

Liability is settled because the Court of Appeal directed summary adjudication for Pascual on her failure-to-attach claim. This Court entered that adjudication on October 23, 2025. The Civil Code section 1788.58(b) violation is the law of the case. Cross-Defendants concede the violation, and the only open questions concern remedies.

The undisputed facts establish each element. Velocity is a debt buyer, and Pascual incurred a consumer debt. The action was brought by a debt buyer on a consumer debt. Civil Code section 1788.58(b) required Velocity to attach a copy of the contract, or another document evidencing Pascual’s agreement to the debt, to its complaint. Velocity attached only the TILA disclosure statement. The TILA disclosure statement does not evidence Pascual’s agreement to the debt. It predated consummation of the loan and recited a different interest rate. Because the attachment requirement was not met, the violation is established.

B. Bona Fide Error Defense

Cross-Defendants contend the violation occurred as a result of a bona fide error. (Opposition, pp. 14–16; Reply, pp. 3–5.) Section 1788.62(e) bars civil liability where a violation was not intentional, resulted from a bona fide error, and occurred despite procedures reasonably adapted to avoid the error. The defense is not available here.

Cross-Defendants raised bona fide error in the trial court in 2023. They did not advance it on appeal. The Court of Appeal deemed Pascual’s summary judgment motion submitted on

her brief and then directed summary adjudication for Pascual. Thus, the bona fide error defense was not preserved and it is foreclosed by waiver and by the law of the case.

The defense also fails on the merits. Civil Code section 1788.62(e) bars “civil liability under this section.” It is a defense to liability, not a factor in setting the amount of damages. Liability is established. The defense cannot now reduce the award.

The evidence does not support the defense in any event. The Sgro declaration describes general policies governing which documents Velocity must hold before suit. It identifies no procedure adapted to ensure that the correct document is attached to a complaint. It shows no procedure that was followed in this case. The declaration states that Velocity attached the TILA disclosure “for the purpose of complying with” Civil Code sections 1788.52(b) and 1788.58(b). The attachment was therefore intentional. A mistaken view of the statute’s requirements is a mistake of law. A mistake of law is not a bona fide error. (See *Jerman v. Carlisle, McNellie, Rini, Kramer & Ulrich, L.P.A.* (2010) 559 U.S. 573, 604–605.) No triable issue is raised.

C. Materiality

Cross-Defendants contend the violation was not material. (Opposition, pp. 9–13; Reply, pp. 5–7.) A violation of section 1788.58(b) does not depend on materiality. The Debt Buyers Act imposes liability for noncompliance. No injury beyond noncompliance is required. (*Chai, supra*, 108 Cal.App.5th at p. 1040.) The least-sophisticated-debtor materiality standard governs alleged misrepresentations. It does not govern a failure to attach a required document. The immateriality contention does not defeat the motion or the claim.

D. Class Additional Damages

Pascual argues that all relevant factors support an award of a maximum statutory recovery. (Memorandum, pp. 16–17; Reply, pp. 7–8.) Cross-Defendants contend the pertinent factors weigh against awarding the maximum amount of statutory damages, and that the class may recover only nominal damages. (Opposition, pp. 16–20.) Civil Code section 1788.62(b) authorizes additional class damages upon a finding of a pattern and practice of violations. The record establishes a pattern and practice. The same defective attachment appears in all 473

class complaints. Velocity filed 1,845 similar complaints in the companion Canul action. The Court finds a pattern and practice of violating section 1788.58(b).

Civil Code section 1788.62(b) caps class additional damages at the lesser of \$500,000 or one percent of the net worth of the debt buyer. The net worth of each Cross-Defendant exceeds \$50,000,000. The one-percent figure exceeds \$500,000. The applicable cap is \$500,000.

The cap applies once to this action. VPGI is Velocity's stipulated alter ego. Alter ego doctrine treats the two entities as one. An alter ego defendant has no separate primary liability. (*Hennessey's Tavern, Inc. v. American Air Filter Co.* (1988) 204 Cal.App.3d 1351, 1358–1359.) This action involves a single pattern and practice and a single set of class injuries. A party may not recover more than once for the same item of damage. (*Roby v. McKesson Corp.* (2009) 47 Cal.4th 686, 702.) The cap does not double to \$1,000,000 because a stipulated alter ego is named. The maximum class recovery in this action is \$500,000.

The Court awards the class \$500,000 in additional damages. The factors in Civil Code section 1788.62(d) support the award. The noncompliance was frequent and persistent. The number of persons affected is 473. The resources of the debt buyer are substantial. This class is smaller than the 1,845-member class in the companion Canul action. The smaller class does not lower the statutory cap. The cap is the lesser of \$500,000 or one percent of net worth. It does not vary with the size of the class. An award of \$500,000 yields approximately \$1,057 per class member. That figure exceeds the \$1,000 maximum for an individual action. The excess does not bar the award. Civil Code section 1788.62(b) measures class damages in the aggregate. The pattern and practice matches the companion action. The penal purpose is the same. The Court awards the statutory maximum of \$500,000.

E. Named-Plaintiff Statutory Damages

Pascual seeks the maximum of individual statutory damages. (Memorandum, pp. 15–16; Opposition, p. 20; Reply, p. 9.) Civil Code section 1788.62(a) entitles Pascual to individual statutory damages of not less than \$100 and not more than \$1,000. The facts bearing on the amount are undisputed. The Court fixes the amount on this motion. The statute is penal. The

violation was part of a litigation practice repeated across the class. The litigation has been lengthy and included a successful appeal. The Court awards Pascual \$1,000 in individual statutory damages.

F. Service Awards

Pascual requests a \$5,000 service award. (Memorandum, pp. 17–18; Opposition, p. 20; Reply, p. 9.) The present record does not establish the risk, expense, or hardship that would support that amount. The Court reserves any service award for determination with the motion for attorney’s fees and costs. Pascual may renew the request and supplement the record at that time.

G. Attorney’s Fees and Costs

Pascual is the prevailing consumer. Civil Code section 1788.62(c)(1) entitles a prevailing consumer to costs and reasonable attorney’s fees. The Court confirms the entitlement. The amount will be fixed by noticed motion.

IV. Conclusion

For the reasons stated, the Court GRANTS Cross-Complainant Eva Pascual’s motion in part, as follows: (1) the Court awards Eva Pascual \$1,000 in individual statutory damages under Civil Code section 1788.62(a); (2) the Court awards the class \$500,000 in additional damages under Civil Code section 1788.62(b); (3) the Court reserves the request for service award for the motion for attorney’s fees and costs; and (4) the Court finds that Eva Pascual is entitled to reasonable attorney’s fees, in an amount to be determined following noticed motion.

Cross-complainant Pascual shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 3

Case Name: *Chavez v. United Security Bank*
Case No.: 21CV386630

This is a putative class and representative action arising from alleged wage and hour violations. Plaintiff Katie Chavez moves to certify five classes under Code of Civil Procedure section 382: the Off-the-Clock Class; the On-Premises Rest Break Class; the Regular Rate Class; the Late Final Pay Class; and the Wage Statement Class.¹ Defendant United Security Bank opposes the motion. As discussed below, the Court DENIES the motion in its entirety, without prejudice.

I. Background

Defendant is a California bank that operates thirteen branches. (Opposition, p. 2.) Plaintiff worked for Defendant as a non-exempt, hourly teller at Defendant's downtown Fresno branch from December 2012 until March 2020. (Chavez Decl., ¶¶ 2–3.) Defendant's branches are generally open to the public from 10:00 a.m. to 4:00 p.m.. (Toney Decl., ¶ 4.) Plaintiff's scheduled shift ran from 8:30 a.m. to 5:00 p.m. (Chavez Decl., ¶ 2.)

Defendant's handbook directs non-exempt employees to record their time and to punch out when they leave the building for reasons other than bank business. (Setareh Decl., ¶ 8, Ex. 1.) Defendant maintains a written rest and recovery policy stating that rest periods are counted as hours worked. (Sanchez Decl., Ex. 3.) That policy also states that employees need not record their rest periods. A general attendance provision states that employees are "expected to remain at work for their entire work schedule, except for meal periods." (Setareh Decl., ¶ 11., Ex. 4.)

II. Legal Standard

Code of Civil Procedure section 382 authorizes class actions. The party seeking certification bears the burden of proof and must establish an ascertainable class. That party must also establish a well-defined community of interest. (*Brinker Restaurant Corp. v. Superior Court* (2012) 53 Cal.4th 1004, 1021.) The community of interest has three elements:

¹ The motion does not seek certification of the meal period claim or the vacation wages claim.

(1) predominant common questions of law or fact; (2) claims typical of the class; and (3) a representative who can adequately protect the class. (*Ibid.*)

Common questions predominate only when liability can be shown through common proof. The existence of a policy is not enough; the policy must permit liability to be determined on a class-wide basis. (*Duran v. U.S. Bank National Assn.* (2014) 59 Cal.4th 1, 28–29.) A class is ascertainable when it is defined by objective criteria. The definition must supply a reasonable means of identifying members. A class may be ascertainable even if it includes persons who were not injured. (*Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 980–986.) The moving party must also show that a class action is superior to other methods of adjudication.

III. Timeliness

Defendant contends the motion is untimely because it was served one day after the September 24, 2025 deadline. (Opposition, p. 3.) Plaintiff’s reply that the motion was filed on the deadline and served one day later, with no prejudice to Defendant. (Reply, p. 2.) Here the papers were not filed late, and even if they had been, the Court has discretion to consider or to disregard late-filed papers, so long as it does not do so arbitrarily. (Cal. Rules of Court, rule 3.1300(d); *Kapitanski v. Von’s Grocery Co.* (1983) 146 Cal.App.3d 29, 32–33.) The Court **OVERRULES** Defendant’s timeliness objection because defendant has not shown any prejudice and has filed a detailed opposition on the merits.

IV. The Proposed Classes

Plaintiff seeks certification of five classes:

- 1. Off-the-Clock Class:** all non-exempt, hourly employees who clocked an opening or closing shift, from September 10, 2017 through final judgment.
- 2. On-Premises Rest Break Class:** all non-exempt, hourly employees who worked a shift in excess of three and one-half hours, from September 10, 2017 through final judgment.
- 3. Regular Rate Class:** all non-exempt employees who were not paid a meal or rest premium, or overtime, at the correct regular rate of pay, from September 10, 2018 through certification.

4. **Late Final Pay Class:** all non-exempt, hourly individuals who separated from employment on or after September 10, 2018.
5. **Wage Statement Class:** all non-exempt, hourly individuals who did not receive compliant wage statements, from September 10, 2020 through final judgment.

V. Analysis

A. On-Premises Rest Break Class

This class consists of non-exempt hourly employees who worked shifts longer than three and one-half hours. The claim is that Defendant required employees to remain on the premises during rest breaks and also required employees who left the premises to clock out and they were not paid. (Memorandum, pp. 4–6; Reply, pp. 3–4; *Augustus v. ABM Security Services, Inc.* (2016) 2 Cal.5th 257.)

Plaintiff does not meet her burden on the record before the Court. (See Opposition, pp. 8–9; 12–13.) The handbook provision on which Plaintiff relies appears in the section governing attendance and punctuality. Defendant’s rest and recovery policy treats rest periods as paid time. The person most knowledgeable testified that employees should clock out when they leave the building. The person most knowledgeable also testified that employees are not required to clock out for rest breaks. Defendant’s time records show that breaks for which employees clocked out were paid. The record does not establish a uniform policy requiring on-premises rest breaks or a uniform practice that caused rest breaks to go unpaid. Whether a non-compliant break occurred would depend on the circumstances of each shift.

Plaintiff’s declaration states that she remained on the premises during her rest breaks, and she testified at her deposition that she did not take rest breaks. Plaintiff’s deposition testimony contradicts her declaration, and this contradiction threatens to dominate the litigation. Therefore, Plaintiff’s claim is subject to individualized defenses and is not typical of the class. (*Seastrom v. Neways, Inc.* (2007) 149 Cal.App.4th 1496, 1502.)

Common questions do not predominate on this record, and the representative is not typical of the proposed class. Even so, it is possible that these defects can be cured through amendment, intervention, or substitution of class representative. (See, e.g., *La Sala v. American*

Sav. & Loan Assn. (1971) 5 Cal.3d 864; *Branick v. Downey Savings & Loan Assn.* (2006) 39 Cal.4th 235.)

Accordingly, the motion for class certification of the On-Premises Rest Break Class is denied without prejudice.

B. Off-the-Clock Class

This class consists of non-exempt hourly employees who clocked an opening or closing shift. The claim is that employees performed compensable security and waiting tasks off the clock. (Memorandum, pp. 6–7; Reply, pp. 4–5; *Frlekin v. Apple, Inc.* (2020) 8 Cal.5th 1038; *Troester v. Starbucks Corp.* (2018) 5 Cal.5th 829.)

Plaintiff does not meet her burden on the record before the Court. (See Opposition, pp. 9–13.) The person most knowledgeable testified that non-exempt employees do not open or close branches. The class is defined by opening and closing shifts worked by non-exempt employees. The expert treated each time punch outside public branch hours as off-the-clock work. A punch entered before the branch opens reflects recorded, on-the-clock time. Plaintiff was scheduled to begin work before the branch opened. The waiting time described in the claim is not recorded. Unrecorded time does not appear in the punch data. The expert’s analysis does not measure the time at issue.

The declarants worked at three of Defendant’s thirteen branches. The declarants stopped working for Defendant by 2021. The class period extends beyond that date. A branch manager declared that non-exempt employees complete closing tasks on the clock. The same manager declared that non-exempt employees do not wait for managers to finish closing. Liability would turn on the circumstances of each employee and each branch. Common questions do not predominate, and Plaintiff’s claims are not typical.

Accordingly, the motion for class certification of the Off-the-Clock Class is denied without prejudice.

C. Regular Rate Class

This class consists of non-exempt employees who were not paid premiums or overtime at the correct regular rate. The claim is that Defendant excluded non-discretionary incentive payments from the regular rate. (Memorandum, pp. 7–8; Reply, pp. 8–9; *Ferra v. Loews Hollywood Hotel, LLC* (2021) 11 Cal.5th 858.)

Plaintiff does not meet her burden on the record before the Court. (Opposition, p. 11.) A payment enters the regular rate only if it is non-discretionary. The record does not establish that the incentive payments were non-discretionary. The expert could not calculate any underpayment for the incentive payments. The earning periods and hours for those payments were not available. The record does not state the number of employees who received incentive payments together with overtime. Numerosity is not established. Plaintiff has not established numerosity or that liability can be shown through common evidence.

Accordingly, the motion for class certification of the Regular Rate Class is denied without prejudice.

D. Late Final Pay Class

This class consists of non-exempt hourly employees who separated from employment on or after September 10, 2018. The claim for waiting time penalties depends on an underlying failure to pay wages. (Lab. Code, § 203; Memorandum, p. 8.)

Plaintiff does not meet her burden on the record before the Court. (Opposition, pp. 6:1-10, 7:10-13.) The underlying classes are not certified. No predicate violation is established through common proof. The class includes every separated employee. The class is not limited to employees who were paid late or to employees who were owed wages. In addition, numerosity is not established.

Accordingly, the motion for class certification of the Late Final Pay Class is denied without prejudice.

E. Wage Statement Class

This class consists of non-exempt hourly employees who received non-compliant wage statements on or after September 10, 2020. The claim depends on the underlying wage claims. (Lab. Code, § 226; Memorandum, pp. 8:6-12, 15–16.)

Plaintiff does not meet her burden on the record before the Court. (Opposition, pp. 11–12.) The class period begins September 10, 2020. Plaintiff’s employment ended in March 2020. Plaintiff is not a member of this class. A class representative must be a member of the class she seeks to represent; the representative must personally hold a live, timely claim of the same type of the class. (*City of San Jose v. Superior Court* (1974) 12 Cal.3d 447.) While typicality is construed more broadly, the rule that the plaintiff need not have suffered every injury (*Class v. Weller* (1983) 145 Cal.App.3d 27, 45), that rule presupposes that the plaintiff is within the class and has a viable claim. Here, the underlying claims are not certified, and Plaintiff is not a typical or adequate representative of this class. In addition, numerosity is not established.

Accordingly, the motion for class certification of the Wage Statement Class is denied without prejudice.

VI. Conclusion

The Court DENIES the motion for class certification in its entirety, without prejudice.

Defendant shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 4

Case Name: *Marmolejo v. Significant Cleaning Services, LLC*
Case No.: 22CV397991

This is a putative class and representative action arising from alleged wage and hour violations. In the first amended complaint against defendant Significant Cleaning Services, LLC (“Defendant”), plaintiff Jesus Marmolejo alleges failures to pay wages, provide meal and rest breaks, reimburse expenses, provide accurate wage statements, and pay final wages, as well as related penalties under the Private Attorneys General Act (“PAGA”).

Plaintiff moves for preliminary approval of the settlement reached by the parties. Defendant opposes the motion. As discussed below, the Court GRANTS the motion for preliminary approval, VACATES the Case Management Conference set for 2:30 p.m. on July 1, 2026, and sets a final approval hearing for January 13, 2027, at 1:30 p.m. in Department 5.

I. Background

Plaintiff, a former hourly non-exempt custodial employee of Defendant, brought a representative action under PAGA (No. 21CV391431) and a separate putative class action (No. 22CV397991). Consistent with the parties’ settlement, Plaintiff filed a first amended complaint on December 15, 2025, adding the PAGA claim to the class action, and the separate PAGA action is to be dismissed without prejudice.

The parties mediated before Mark LeHocky on March 20, 2023, and reached a settlement. They memorialized the settlement in a five-page Memorandum of Understanding executed on August 22, 2023. (See Declaration of Alan Wilcox (“Wilcox Decl.”), Ex. 1, (the “MOU”).) The MOU provides for a non-reversionary gross settlement of \$625,000, payable by Defendant in three installments beginning ten days after the “Effective Date,” which the MOU defines as the date of final approval (or, if an appeal is taken, after the appeal concludes). (MOU, ¶¶ 5–7.)

The parties did not execute the contemplated long-form agreement. (See Motion, pp. 2:22–3:24.) Defendant later advised that it could not fund the settlement, and the parties exchanged financial records and engaged a second forensic accountant in 2025. The parties

returned to mediation on November 4, 2025, but did not reach a superseding agreement. Plaintiff filed this motion on January 30, 2026, and Defendant filed its opposition.

II. Defendant's Opposition

Defendant opposes preliminary approval on several grounds. First, it contends that no enforceable settlement exists because it never executed the long-form agreement and never assented to all material terms. (Opposition, pp. 10–14.) Second, it argues that the settlement process was procedurally unreliable considering the multi-year delay between the 2023 mediation and the present motion. (*Id.* at pp. 14–17.) Third, it asserts that it can no longer fund the settlement, citing an approximately 53 percent decline in revenue since 2023 and increased operating costs, and it contends that performance is excused under the doctrine of commercial impracticability. (*Id.* at pp. 18.) Fourth, it argues that Plaintiff's delay bars relief under principles of laches. (*Id.* at pp. 18–19.)

Based on these contentions, Defendant asks the Court to deny the motion without prejudice and to impose a 45-to-90 day stay so that the parties may negotiate a reduced, "ability-to-pay" settlement. Defendant also identifies asserted deficiencies in the proposed notice, including the absence of any Spanish-language notice for a workforce it represents is approximately 85 percent Spanish-speaking, the absence of information regarding the proposed administrator, and inconsistencies between the notice and the MOU.

III. Evidentiary Issues

In connection with his reply, Plaintiff objects to the declarations of Karin Backstrom and Frank Duignan submitted with the opposition. Plaintiff first objects that the opposition and the Duignan declaration were untimely under Code of Civil Procedure section 1005, subdivision (b). The Court has discretion to consider or to disregard late-filed papers, so long as it does not do so arbitrarily. (Cal. Rules of Court, rule 3.1300(d); *Kapitanski v. Von's Grocery Co.* (1983) 146 Cal.App.3d 29, 32–33.) Given the Court's independent duty to protect absent class members, the Court exercises its discretion to consider the opposition and the supporting declarations. On June 26, 2026, the Court granted Defendant's ex parte request to

excuse the delay and consider the late opposition on its merits. The Court likewise OVERRULES the untimeliness objections.

Plaintiff also objects to portions of the Backstrom declaration on the grounds of lack of foundation and hearsay. Ms. Backstrom is Defendant's counsel, and her statements describing Defendant's financial condition are not shown to rest on her personal knowledge. The Court SUSTAINS the objections on the grounds of lack of foundation and hearsay as to Ms. Backstrom's statements describing Defendant's financial condition and ability to pay. The Court OVERRULES the remaining objections. As explained below, the Court's ruling does not depend on the contested financial evidence.

IV. The MOU is Binding and Sufficiently Definite

Before turning to the standards governing preliminary approval, the Court addresses Defendant's threshold contention that there is no settlement to approve. The Court concludes that the MOU is a binding and sufficiently definite settlement.

The MOU is signed by both parties, and Defendant authenticated the identical document as an exhibit to its opposition. The MOU states that it is "enforceable by, binding on, admissible, and subject to disclosure by all Parties." (MOU, ¶ 1.) It further provides that, if the parties do not execute a long-form agreement, "this agreement will be final, binding and enforceable pursuant to California Code of Civil Procedure section 664.6," and that "either party may move for preliminary approval of this class action settlement on the basis of the terms set forth in this MOU." (*Id.* at ¶ 2.) The MOU thus expressly contemplates the relief Plaintiff seeks. Defendant's argument that there was no meeting of the minds conflates the MOU with the long-form agreement. The MOU is the operative contract, and the parties' failure to execute a long-form agreement does not render it unenforceable.

The MOU is also sufficiently definite. A settlement is enforceable if the parties have agreed to all material terms; whether a term is material turns on its relative importance and whether its absence would make enforcement unfair. (*Eagle Fire & Water Restoration, Inc. v. City of Dinuba* (2024) 102 Cal.App.5th 448, 468–469.) The MOU sets forth the gross settlement amount and payment schedule, the class definition and class period, the release, the

PAGA allocation, the caps on fees, costs, the service award, and administration, the distribution formula, the tax allocation, the *cy pres* recipient, and the opt-out procedure. The terms Defendant identifies as missing concern the mechanics of notice and administration, which the parties expressly agreed would be supplied by “customary terms and procedures.” (MOU, ¶ 2.) Filling those gaps with a customary form does not rewrite the parties’ agreement but rather enforces it. As such, this case is unlike *Weddington Productions, Inc. v. Flick* (1998) 60 Cal.App.4th 793, where material terms remained unresolved.

Defendant’s remaining defenses do not alter this conclusion. Financial inability to perform is not a defense of impossibility or impracticability; the impossibility must inhere in the nature of the performance and not in the obligor’s lack of funds. (*Autry v. Republic Productions, Inc.* (1947) 30 Cal.2d 144, 148.) A party may not avoid a contract merely because performance has become more costly or results in a loss. (*Habitat Trust for Wildlife, Inc. v. City of Rancho Cucamonga* (2009) 175 Cal.App.4th 1306, 1336.) The laches argument fails because the cause of the delay is disputed, and the asserted prejudice is not established by competent evidence. The settlement’s deferred Effective Date and installment structure, together with the Court’s continuing oversight, adequately protect the class. Any question of collectability may be addressed at final approval.

For the reasons stated, the Court rejects the Defendant’s arguments regarding the enforceability and adequacy of the MOU, and therefore the Court evaluates the settlement under the governing standards.

V. Legal Standard for Settlement Agreements

“In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235, disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) The most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

Like its review of class action settlements, a trial court must also “review and approve” any settlement of an action filed under the Private Attorneys General Action (“PAGA”). (Lab. Code, § 2699, subd. (s)(2).) The trial court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) A PAGA settlement may be substantially discounted, and courts often exercise their discretion to award PAGA penalties below the statutory maximum. (*Carrington v. Starbucks Corp.* (2018) 30 Cal.App.5th 504, 529; *Amaral v. Cintas Corp. No. 2* (2008) 163 Cal.App.4th 1157, 1213.)

VI. Discussion of the Proposed Settlement

A. Provisions of the Settlement

This case has been settled on behalf of the following class: all persons who worked for Defendant in California as an hourly-paid or non-exempt employee during the Class Period of November 1, 2017, to May 19, 2023. (MOU, ¶¶ 9–10.) The settlement includes a subset group of PAGA Aggrieved Employees, defined as all persons employed by Defendant in California as hourly-paid or non-exempt employees during the PAGA Period of October 1, 2020, to May 19, 2023. (*Id.* at ¶ 12.)

Defendant will pay a gross settlement amount of \$625,000. The gross settlement amount includes attorney fees of up to one-third of the gross settlement amount (\$208,333.33); litigation costs of up to \$20,000; a PAGA allocation of \$30,000 (75 percent of which, or \$22,500, will be paid to the LWDA, and 25 percent of which, or \$7,500, will be paid to Aggrieved Employees as individual PAGA payments); a service payment of up to \$10,000; and settlement administration costs of up to \$15,000. (MOU, ¶¶ 5, 11–14.) No portion of the gross settlement amount will revert to Defendant. (*Id.* at ¶ 5.)

Plaintiff’s counsel obtained several bids for settlement administration services, and selected Apex Class Action Administration (“Apex”) because it presented the lowest bid. (Wilcox Decl., ¶ 11.) The Court appoints Apex as the settlement administrator. Funds from

checks remaining uncashed after the void date will be remitted to the Little Italy San Jose Foundation as the designated cy pres recipient pursuant to Code of Civil Procedure section 384. (*Id.* at ¶ 16.) The Court approves the *cy pres* designation.

In exchange for the settlement, the class members agree to release Defendant and related entities and persons from the wage-and-hour and unfair-competition claims that were asserted, or that could have been asserted on the same facts, in the operative complaint. (MOU, ¶ 8.) PAGA Aggrieved Employees will be deemed to release Defendant and related entities and persons from the PAGA claims arising from the same facts during the PAGA Period. (*Id.* at ¶ 12.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiff contends that the Agreement meets the standards for preliminary approval. (Motion, pp. 9–11.) Plaintiff’s counsel states that the parties participated in mediation with Mark LeHocky. (Wilcox Decl., ¶ 7.) Prior to mediation, Defendant produced sample timekeeping and payroll records and information regarding its wage-and-hour policies, which Plaintiff’s counsel analyzed with the assistance of forensic accountants and a statistics expert. (*Id.* at ¶¶ 5–6, 16.) According to the analysis by Plaintiff’s counsel, Defendant’s estimated total maximum exposure for all claims is approximately \$28 million, and Defendant’s estimated realistic exposure for all claims, after accounting for the risks of certification and trial, is approximately \$1,235,009.59. (*Id.* at ¶¶ 17–22; Motion, p. 6.)

The gross settlement amount of \$625,000 represents approximately 50.6 percent of Defendant’s estimated realistic exposure, and approximately 2.3 percent of the estimated theoretical maximum. A recovery of approximately half of the realistically recoverable damages is within the general range of percentage recoveries that California courts have found to be reasonable. The estimated net settlement amount available to the class is approximately \$346,416.67, yielding an average payment of approximately \$482 per class member. (Wilcox Decl., ¶ 25.)

The Court has reviewed Plaintiff's written submissions and is satisfied that the settlement is fair and may be preliminarily approved.

C. Service Award, Fees, and Costs

Plaintiff seeks a service award of up to \$10,000 and has provided a declaration describing his participation in this action. The Court is inclined to approve a service award and will issue its determination regarding the approved amount at the final approval hearing. Class counsel will seek attorney fees of up to one-third of the gross settlement amount. Prior to the final approval hearing, class counsel shall submit lodestar information (including hourly rate and hours worked), as well as evidence of actual litigation costs incurred and settlement administration costs.

D. Conditional Certification of the Class

Plaintiff requests that the class be conditionally certified for purposes of the settlement, and the parties have stipulated to certification for settlement purposes only. (MOU, ¶ 4.) California Code of Civil Procedure section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court."

Plaintiff states that there are approximately 718 class members who can be identified from a review of Defendant's records. The Court finds that there are common questions regarding whether class members were subjected to the allegedly unlawful wage-and-hour practices, and that the proposed class may be conditionally certified for settlement purposes. The certification is conditional and, pursuant to the parties' stipulation, will be revoked without prejudice if the settlement is not finally approved.

E. Class Notice

California Rules of Court, rule 3.769, subdivision (f), provides that, if the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court, and the notice must explain the proposed

settlement and the procedures for class members to file written objections and to appear at the settlement hearing.

Here, the form of the notice is generally adequate subject to the modifications set forth below. It describes the lawsuit, explains the settlement, and states the settlement amounts, including attorney fees and the payment to the named plaintiff. The notice informs class members that they may appear at the final fairness hearing to make an oral objection without filing a written objection. The notice requires the following modifications before mailing.

First, the second page of the notice is misleading because it suggests that recipients have only two basic options under the settlement: to do nothing or to opt out. This portion of the notice must be modified to clarify that recipients have a third option: to object.

Second, because Defendant represents that approximately 85 percent of its workforce is Spanish-speaking, the notice must be translated into Spanish, and both the English and Spanish versions must be mailed to the class so that the notice is reasonably calculated to reach the class members.

Third, the figures and terms stated in the notice must be conformed to the MOU, including the identity of the settlement administrator and the amounts allocated to fees, costs, the service award, administration, and PAGA.

Fourth, the following language regarding the final approval hearing shall be added to the notice:

Class members may appear at the final approval hearing in person or remotely using the link for Department 5 (Afternoon Session), and should review the remote appearance instructions beforehand:

<https://santaclara.courts.ca.gov/online-services/remote-hearings>

Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above changes to the notice prior to its mailing, the notice is approved.

VII. Conclusion

Having considered and rejected the arguments raised by Defendant in opposition, the Court GRANTS the motion for preliminary approval, VACATES the Case Management Conference set for 2:30 p.m. on July 1, 2026, and sets a final approval hearing for January 13, 2027, at 1:30 p.m. in Department 5.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

Calendar Line 5

Case Name: *Hakimzada v. My Wireless NCC, Inc.*
Case No.: 24CV441948

This is a putative class and representative action arising from alleged wage and hour violations. In the first amended complaint against defendant My Wireless NCC, Inc. (“Defendant”), plaintiff Tamim Hakimzada alleges failures to pay wages, provide meal and rest breaks, reimburse expenses, provide accurate wage statements, and pay final wages, as well as related PAGA penalties.

Plaintiff moves for preliminary approval of the settlement reached by the parties, and the motion is unopposed. As discussed below, the Court GRANTS the motion for preliminary approval, VACATES the Case Management Conference set for 2:30 p.m. on July 1, 2026, and sets a final approval hearing for January 13, 2027 at 1:30 p.m. in Department 5.

I. Legal Standard

“In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235, disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) The most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

Similar to its review of class action settlements, a trial court must also “review and approve” any settlement of an action filed under the Private Attorneys General Action (“PAGA”). (Lab. Code, § 2699, subd. (s)(2).) The trial court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) A PAGA settlement may be substantially discounted, and courts often exercise their discretion to award PAGA penalties below the statutory maximum. (*Carrington*

v. Starbucks Corp. (2018) 30 Cal.App.5th 504, 529; *Amaral v. Cintas Corp. No. 2* (2008) 163 Cal.App.4th 1157, 1213.)

II. Discussion

A. Provisions of the Settlement

This case has been settled on behalf of the following class:

All current and former employees of Defendant who worked for Defendant in California in a non-exempt position at any time during the Class Period [June 27, 2020 through March 12, 2025].

(Declaration of Connor J.D. Gomez (“Gomez Decl.”), Ex. 1 (“Agreement”), §§ 1.5, 1.13.) The settlement includes a subset PAGA class of Aggrieved Employees, defined as, “all current and former employees of Defendant who worked for Defendant in a non-exempt position in California at any time during the PAGA Period [June 19, 2023 through March 12, 2025].” (*Id.* at §§ 1.4, 1.36.)

Defendant will pay a gross settlement amount of \$230,000. The gross settlement amount includes attorney fees of up to one-third of the gross settlement amount (\$76,666.67); litigation costs of up to \$25,000; a PAGA allocation of \$15,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments); a service payment of up to \$10,000; and settlement administration costs estimated at \$5,490. (Motion, pp. 3:16–6:21.)

The Agreement provides that Apex Class Action Administration (“Apex”) will serve as the neutral entity that will administer the settlement. (Agreement, § 7.1.) The Court appoints Apex as the settlement administrator.

The Agreement further provides that funds from uncashed settlement checks will be tendered to the California State Controller Unclaimed Property Fund in the name of the Class Member. (Agreement, § 4.4.3.) Code of Civil Procedure section 384 mandates that unclaimed or abandoned class members’ funds be given to “nonprofit organizations or foundations to support projects that will benefit the class or similarly situated persons, or that promote the law consistent with the objectives and purposes of the underlying cause of action, to child advocacy

programs, or to nonprofit organizations providing civil legal services to the indigent.” In the Court’s view, the Agreement’s Unclaimed Funds provision, at paragraph 4.4.3 does not comply with Code of Civil Procedure section 384. Therefore, prior to mailing of the Class Notice, the parties shall meet and confer to designate a *cy pres* beneficiary and amend the Class Notice accordingly.

In exchange for the settlement, the class members agree to release Defendant and related entities and persons from “all claims, causes of action, damages, wages, benefits, expenses, penalties, debts, liabilities, demands, obligations, attorneys fees, costs, and any other form of relief or remedy in law, equity, or whatever kind of nature, arising from the claims pled in the Action and any claims based on facts alleged in the Operative Complaint....”

(Agreement, § 5.2.) PAGA Aggrieved Employees will be deemed to release Defendant and related entities and persons from “all claims for civil penalties under PAGA arising during the PAGA Period that were alleged in Plaintiff’s PAGA Notice dated June 19, 2024 to the LWDA or that could have been alleged by Plaintiff based on the factual allegations asserted in the PAGA Notice....” (*Id.* at § 5.3.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiff contends that the Agreement meets the standards for preliminary approval. (Motion, pp. 7:3–14:15.) Plaintiff’s counsel states that the parties participated in mediation with Sonya Goodwin, Esq., on January 15, 2025. (Gomez Decl., ¶ 7.) Prior to mediation, Defendant produced a sample of class-member time and pay records, its wage and hour policies, and workforce data, which Plaintiff’s counsel analyzed with the assistance of a statistics expert. (*Id.* at ¶¶ 5–6.) According to the analysis by Plaintiff’s counsel, Defendant’s estimated total maximum exposure for all claims is approximately \$1,980,194, and Defendant’s estimated realistic exposure for all claims is approximately \$396,039. (*Id.* at ¶¶ 17–23; Motion, pp. 2:7–15, 9:1–10:22.)

The gross settlement amount of \$230,000 represents approximately 11.6 percent of Defendant's estimated total maximum exposure (and approximately 58 percent of the estimated realistic exposure), which is within the general range of percentage recoveries that California courts have found to be reasonable.

The Court has reviewed Plaintiff's written submissions and is satisfied that the settlement is fair and may be approved.

C. Service Award, Fees and Costs

Plaintiff seeks a service award of \$10,000 and has provided a declaration describing his participation in this action. The Court is inclined to approve the service award in the amount requested and will issue its determination at the final approval hearing. Class counsel will seek attorney fees of up to one-third of the gross settlement amount. Prior to the final approval hearing, class counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration costs.

D. Conditional Certification of Class

Plaintiff requests the class be conditionally certified for purposes of the settlement. California Code of Civil Procedure section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court ..."

Plaintiff states that there are approximately 199 class members who can be identified from a review of Defendant's records. The Court finds that there are common questions regarding whether class members were subjected to unlawful conduct and that proposed class may be conditionally certified for settlement purposes.

E. Class Notice

California Rules of Court, rule 3.769, subdivision (f), provides, "If the court has certified the action as a class action, notice of the final approval hearing must be given to the

class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.”

Here, the form of the notice is generally adequate subject to the modifications set forth below. It describes the lawsuit, explains the settlement, and states the settlement amounts, including attorney fees and payment to the named plaintiff. The notice informs class members that they may appear at the final fairness hearing to make an oral objection without filing a written objection.

As discussed above, the Court instructs the parties to meet and confer to designate a *cy pres* beneficiary in accordance with Code of Civil Procedure section 384 – and to amend the Class Notice accordingly – prior to its mailing. In addition, the following language regarding the final approval hearing shall be added to the notice:

Class members may appear at the final approval hearing in person or remotely using the link for Department 5 (Afternoon Session), and should review the remote appearance instructions beforehand:

<https://santaclara.courts.ca.gov/online-services/remote-hearings>

Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above modifications to the notice prior to its mailing, the notice is approved.

III. Conclusion

The Court GRANTS the motion for preliminary approval, VACATES the Case Management Conference set for 2:30 p.m. on July 1, 2026, and sets a final approval hearing for January 13, 2027 at 1:30 p.m. in Department 5.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 6

Case Name: *Lee v. Gilroy IM 2 LLC*
Case No.: 24CV448348

This is a putative class and representative action arising from alleged wage and hour violations. In the Complaint against defendant Gilroy IM 2 LLC (“Defendant”), plaintiff Edward Lee alleges failures to pay minimum, straight-time, and overtime wages; provide meal and rest periods; timely pay final wages; provide accurate wage statements; and reimburse business expenses; failure to produce employment records; and unfair competition, as well as related PAGA penalties.

Plaintiff moves for preliminary approval of the settlement reached by the parties, and the motion is unopposed. As discussed below, the Court GRANTS the motion for preliminary approval and sets a final approval hearing for January 13, 2027 at 1:30 p.m. in Department 5.

I. Legal Standard

“In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235, disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) The most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130.)

Similar to its review of class action settlements, a trial court must also “review and approve” any settlement of an action filed under the Private Attorneys General Action (“PAGA”). (Lab. Code, § 2699, subd. (s)(2).) The trial court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77.) A PAGA settlement may be substantially discounted, and courts often exercise their discretion to award PAGA penalties below the statutory maximum. (*Carrington*

v. Starbucks Corp. (2018) 30 Cal.App.5th 504, 529; *Amaral v. Cintas Corp. No. 2* (2008) 163 Cal.App.4th 1157, 1213.)

II. Discussion

A. Provisions of the Settlement

This case has been settled on behalf of the following class:

All non-exempt, hourly employees who worked for Gilroy IM 2 LLC at any time during the period from September 30, 2020 through the date of preliminary approval.

(Declaration of John G. Islas (“Islas Decl.”), Ex. 2 (“Agreement”), ¶ 1.5.) The settlement includes a subset PAGA class of Aggrieved Employees, defined as, “all non-exempt, hourly employees who worked for Gilroy in California at any time from January 13, 2024 through the date of preliminary approval.” (*Id.* at ¶ 1.4).)

Defendant will pay a non-reversionary gross settlement amount of \$110,000. The gross settlement amount includes attorney fees of up to one-third of the gross settlement amount \$36,666.67; litigation costs of approximately \$20,000; a PAGA allocation of \$5,000 (65 percent of which will be paid to the LWDA and 35 percent of which will be paid to PAGA Employees as individual PAGA payments); a service payment of up to \$10,000; and settlement administration costs estimated at \$3,500. The Agreement provides that Phoenix Class Action Administration Solutions (“Phoenix”) will serve as the neutral entity that will administer the settlement. The Court appoints Phoenix as the settlement administrator.

The Agreement further provides that funds from uncashed settlement checks will be tendered to the California State Controller Unclaimed Property Fund in the name of the Class Member. (Agreement, ¶ 4.3.3.) Code of Civil Procedure section 384 mandates that unclaimed or abandoned class members’ funds be given to “nonprofit organizations or foundations to support projects that will benefit the class or similarly situated persons, or that promote the law consistent with the objectives and purposes of the underlying cause of action, to child advocacy programs, or to nonprofit organizations providing civil legal services to the indigent.” In the Court’s view, the Agreement’s Unclaimed Funds provision at paragraph 4.4.3 does not comply

with Code of Civil Procedure section 384. Therefore, prior to mailing of the Class Notice, the parties shall meet and confer to designate a *cy pres* beneficiary and amend the Class Notice accordingly.

In exchange for the settlement, the class members agree to release Defendant and related entities and persons from “all claims that were alleged, or reasonably could have been alleged, based on the facts and allegations in the Action that are alleged to have occurred during the Class Period.” (Agreement, ¶¶ 1.38, 5.2.) PAGA Aggrieved Employees will be deemed to release Defendant and related entities and persons from “all claims for PAGA Penalties that were alleged, or reasonably could have been alleged, based on the facts and allegations in the Action that are alleged to have occurred during the PAGA Period and the PAGA Notice...” (*Id.* at ¶¶ 1.38, 5.3.) The release provisions are appropriately tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiff contends that the Agreement meets the standards for preliminary approval. (Motion, pp. 11:27–16:18.) Plaintiff’s counsel states that the parties participated in a full-day mediation with William O. Kampf on November 6, 2025. (Islas Decl., ¶ 6.) Prior to mediation, Defendant produced class data including the number of pay periods, time and payroll records, employment handbooks and policies, and job descriptions. (*Id.* at ¶ 9.) According to the analysis by Plaintiff’s counsel, Defendant’s estimated total maximum exposure for all claims is approximately \$914,661, and counsel’s risk-adjusted estimate is approximately \$111,282. (*Id.* at ¶¶ 9–21; Motion, pp. 13:8–6:18.)

The gross settlement amount of \$110,000 represents approximately 12 percent of Defendant’s estimated total maximum exposure, which is within the general range of percentage recoveries that California courts have found to be reasonable.

The Court has reviewed Plaintiff’s written submissions and is satisfied that the settlement is fair and may be approved.

C. Service Award, Fees and Costs

Plaintiff seeks a service award of \$10,000 and has provided a declaration describing his participation in this action. The Court is inclined to approve a service award and will issue its determination regarding the approved amount at the final approval hearing. Class counsel will seek attorney fees of up to one-third of the gross settlement amount. Prior to the final approval hearing, class counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration costs.

D. Conditional Certification of Class

Plaintiff requests the class be conditionally certified for purposes of the settlement. California Code of Civil Procedure section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court ...”

Plaintiff states there are approximately 32 class members who can be identified from a review of Defendant’s records. The Court finds that there are common questions regarding whether class members were subjected to unlawful conduct and that proposed class may be conditionally certified for settlement purposes.

E. Class Notice

California Rules of Court, rule 3.769, subdivision (f), provides, “If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court. The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.”

Here, the form of the notice is generally adequate subject to the modifications set forth below. It describes the lawsuit, explains the settlement, and states the settlement amounts, including attorney fees and payment to the named plaintiff. The notice informs class members

that they may appear at the final fairness hearing to make an oral objection without filing a written objection.

As discussed above, the Court instructs the parties to meet and confer to designate a *cy pres* beneficiary in accordance with Code of Civil Procedure section 384 – and to amend the Class Notice accordingly – prior to its mailing. In addition, the following language regarding the final approval hearing shall be added to the notice:

Class members may appear at the final approval hearing in person or remotely using the link for Department 5 (Afternoon Session), and should review the remote appearance instructions beforehand:

<https://santaclara.courts.ca.gov/online-services/remote-hearings>

Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above modifications to the notice prior to its mailing, the notice is approved.

III. Conclusion

The Court GRANTS the motion for preliminary approval and sets a final approval hearing for January 13, 2027 at 1:30 p.m. in Department 5.

Case Management Conferences on July 1, 2026 in both related cases 24CV448348 and 25CV456417 are VACATED.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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